night, the seven of us sat down around a big round table, everyone fell silent, and someone—I believe it was Helmut Kohl, who had replaced Schmidt as chancellor of West Germany—spoke up: *“Tell us about the American miracle.”*

He wanted to know how we had managed to turn the tide on both inflation and unemployment while most of the rest of the industrialized world was still gripped by the recession.

Looking at a semicircle of faces, I launched into what I guess was a variation of the speech I’d been making for years. First, I gave them my thoughts about how excessive tax rates take away the incentive to produce, and how lower tax rates, in the end, generate more economic growth and also greater revenue for government. Then I told them what we had done to lower our tax rates, and some of the other things we were trying to do, such as reducing the size of government, eliminating unnecessary regulations and interference in the free market, and turning over to private enterprise some of the functions government had taken over. Everyone around the table just listened in silence as I spoke.

It wasn’t long after that that I began reading about a wave of tax cutting in several of their countries. And at subsequent economic summits, several leaders told me they were introducing economic and taxation policies based on ours—not only cutting taxes, but reducing the regulation of business. The next time I’d see them, they’d say the policies were stimulating a turnaround like the one we had had in the United States.

No one did more in this regard than Margaret Thatcher. But I don’t claim credit for convincing her of the merits of free enterprise and downsizing government. She was at least as determined as I was to get government out of the pocketbooks and off the backs of the people. From our first meeting, we’d been on the same wavelength. Whenever we saw each other, she usually told me her ability to point to